

Different Types of Value

Types of Value	Stakeholders	Explanations
Assessed value	Tax assessment office	The price placed on a home by a municipality to calculate property taxes.
Depreciated value	IRS	Calculated for income tax purposes to determine basis for taxable amount. Accelerated depreciated programs have been used by the federal government to stimulate the economy.
Investment value	Investor	One way to determine investment value is to calculate the return on investment (ROI). The higher the ROI, the better the investment. Another way to determine investment value is to apply a capitalization rate to the net operating income. Again, the higher the better.
List price	Owner	This is the amount for which an owner has offered to sell a property. This is what is found in an MLS listing.
Market value	Buyer and seller	The purchase price agreed to by the buyer and seller sets the market value. Also referred to as the "meeting of minds."